

30 September 2026

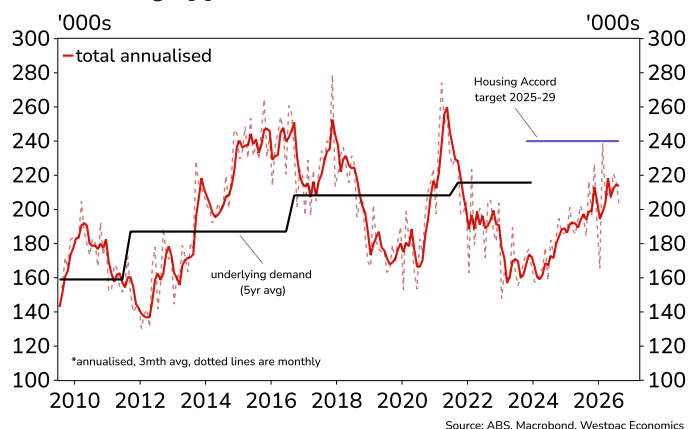
AUSTRALIAN DWELLING APPROVALS BULLETIN

Unit approvals drive the headline lower

Key points

- Total dwelling approvals fell 6.1%*mth* in August, with the annual pace easing to 10.3%*yr*. The headline decline was driven by a sharp fall in private unit approvals.
- Private detached dwelling approvals rose 3.7%*mth*, reaching their highest level since August 2021. In contrast, private unit approvals fell 21.2%*mth*.
- Queensland recorded the weakest result, while NSW also posted a sizeable decline. By contrast, WA, Victoria and South Australia recorded gains over the month.
- The value of residential building approvals fell 0.6%*mth*. Volatility in the data centre dominated 'other commercial buildings' segment contributed to the total value of building approvals falling 21.3%*mth*.
- While detached dwelling approvals continue to show resilience, recent RBA cash rate increases continue to present risks to the outlook.

Dwelling approvals



**Total dwelling approvals
-6.1%*mth*,
10.3%*yr***

Detached approvals point to some resilience



Luka Belobrajdic
Economist

Total dwelling approvals fell 6.1%^{mth} in August, with the annual pace easing slightly to 10.3%^{yr}. The result was broadly in line with Westpac's expectation for a 5.0%^{mth} decline, although notably weaker than the market expectation for a 1.0%^{mth} fall. July's decline in private detached dwellings proved short lived, with approvals rebounding in August. Instead, weakness in the headline result was driven by a sizeable decline in private unit approvals.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

Private detached dwelling approvals rose 3.7%^{mth} in August, following a large 2.5ppt upward revision to July's 1.9%^{mth} decline. The increase was the strongest in more than a year, with private detached dwelling approvals reaching their highest level since August 2021. With the annual pace strengthening to 18.4%^{yr}, detached dwelling approvals continue to appear resilient despite recent interest rate increases. Some of this resilience may partly reflect the implementation of changes to SMSF property borrowing arrangements on 10 August.

Private unit approvals drove the decline in the headline result, falling 21.2%^{mth} in August. Following a 1.2ppt upward revision to July's 0.8%^{mth} increase, the annual pace returned to contractionary territory at -2.1%^{yr}. Weakness was broad-based across segments, with both high-rise and low-mid-rise approvals declining in the month.

Queensland recorded the weakest result, with private approvals falling 22.6%^{mth}, driven primarily by weakness in unit approvals, while private approvals in NSW also declined, falling 17.1%^{mth}. By contrast, WA (+0.2%^{mth}), Victoria (+8.4%^{mth}) and South Australia (+32.0%^{mth}) all recorded gains over the month.

In value terms, residential building approvals fell 0.6%^{mth}, driven by a 0.5%^{mth} decline in new residential approvals and a 2.1%^{mth} fall in renovation activity. Non-residential approvals declined sharply, down 44.8%^{mth}. Volatility continues to be driven by the data centre-dominated 'other commercial' segment, which fell 91.1%^{mth} on a non-seasonally adjusted basis. Excluding this segment, in non-seasonally adjusted terms, non-residential approvals fell a more subdued 13.9%^{mth} (from -37.9%^{mth}). The total value of building approvals declined 21.3%^{mth} in August.

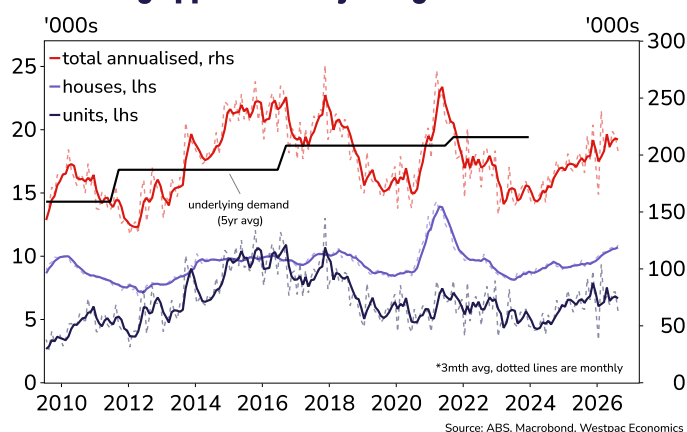
August's result suggests dwelling approvals continue to moderate following the strength recorded earlier in the year. However, the underlying picture remains more resilient, with the headline decline driven by volatility in unit approvals while detached dwellings strengthened. NSW and Victoria, traditionally among the more interest rate sensitive housing markets, recorded the weakest detached dwelling outcomes, potentially signalling broader rate effects ahead. For a comprehensive assessment of housing market conditions, see our latest **Housing Pulse** (see [here](#)).

Building approvals – August 2026

3mth avg	3mth %chg*			%yr	
	latest	Jul	Aug	Jul	Aug
Private houses	10,692	2.7	2.5	12.9	14.3
Private units	6,669	-9.2	3.1	3.4	5.5
Public dwellings	440	31.4	11.3	2.9	-8.9
Total dwellings	17,802	-1.7	2.9	8.8	10.1
Total dwellings, mthly*	16,953	-1.9	-6.1	10.9	10.3
– units in 'high rise'^	3,972	-18.4	11.0	3.9	16.1
– units in 'low rise'^	3,066	-5.9	-3.0	-5.6	-8.0
Renovations, \$bn	1.310	-1.2	-4.1	9.2	7.2
Non-res., \$bn	8.068	27.1	-4.0	42.8	9.4

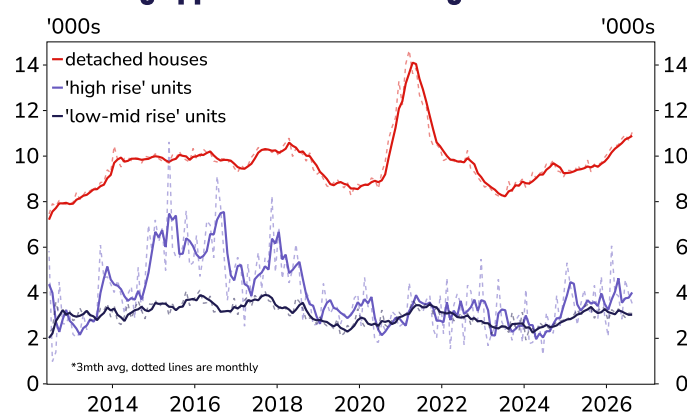
*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

Dwelling approvals: major segment



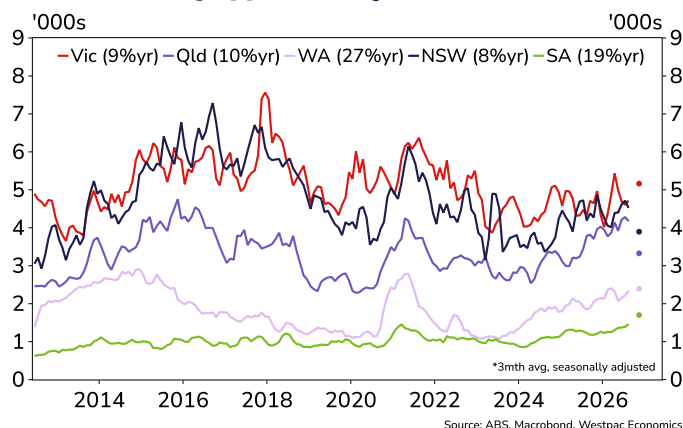
Source: ABS, Macrobond, Westpac Economics

Dwelling approvals: detailed segment

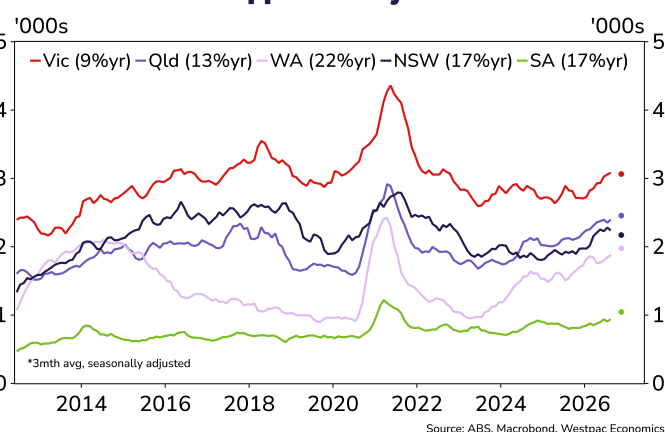


Source: ABS, Macrobond, Westpac Economics

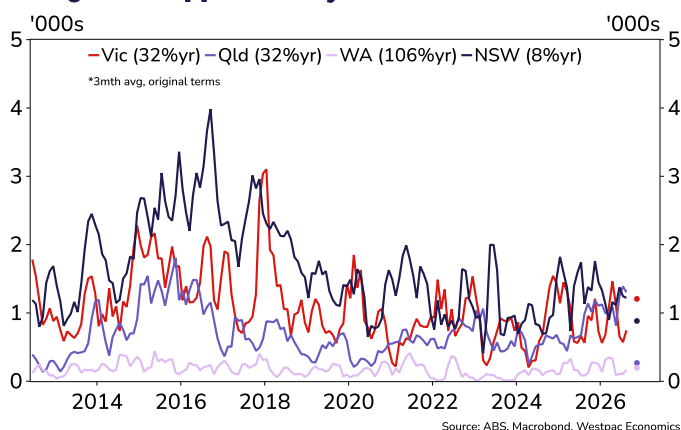
Total dwelling approvals: by state



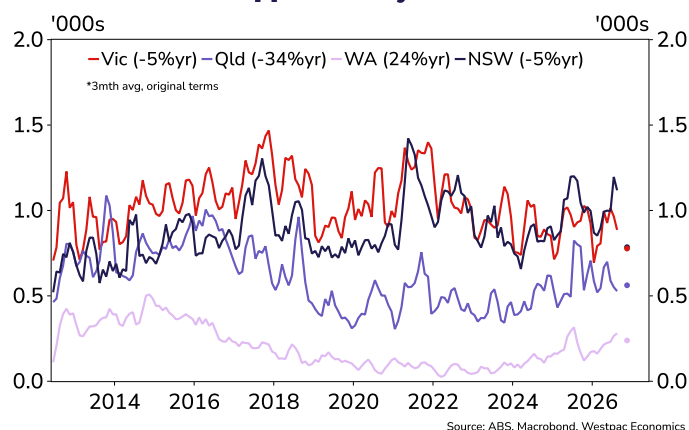
Detached house approvals: by state



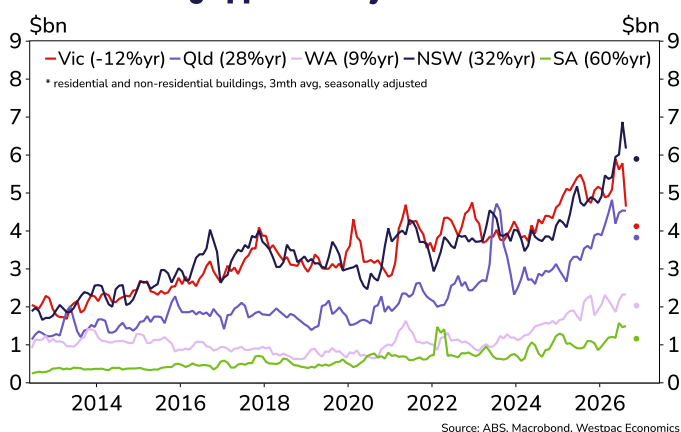
'High rise' approvals: by state



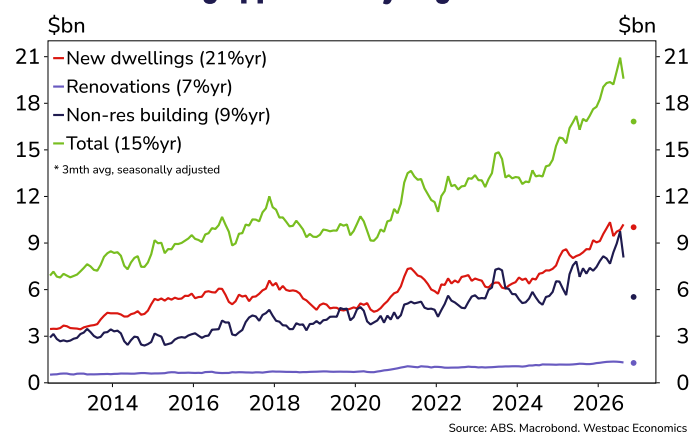
'Low-mid rise' approvals: by state



Total building approvals: by state



Total building approvals: by segment





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